

XBRA — Explainable Behavioral Risk Attribution

Investor: INV_LOSS_AVERSE_005

Report date: 2026-09-06

1. Executive Summary

Analysis of INV_LOSS_AVERSE_005's trading history reveals a dominant behavioural pattern of **Loss Averse**. Behavioural factors explain **100%** of the portfolio's maximum drawdown of **-2.2%**. This report provides a detailed breakdown of detected biases, market context, and actionable recommendations.

2. Investor Risk Profile

Metric	Value
Dominant Bias	Loss Averse
Strategy Archetype	Buy Hold Drifter
Max Drawdown	-2.2%
Sharpe Ratio	3.32
Sortino Ratio	2.31
Peer Risk Percentile	17th
Behavioural Risk %	100%

3. Charts

4. Behavioral Bias Deep-Dives

Loss Aversion

Pattern: The holding-time asymmetry metric shows that investors tend to hold onto losing trades for longer periods than winning trades, with a median of 7.5 days for losers compared to 1.0 day for winners.

Evidence: The evidence for this pattern includes trades such as CVX (entry 2020-01-21 → exit 2020-04-20) with a holding time of 90 days, resulting in a loss of \$2034, and DIS (entry 2022-01-03 → exit 2022-04-01) with a holding time of 88 days, resulting in a loss of \$1245.

Consequence: As a result, the portfolio's total drawdown is 53% due to the significant losses incurred from holding onto losing trades for extended periods.

Herding

Pattern: You followed recent market momentum 89% of the time (vs population median 64%), indicating a tendency to buy high.

Evidence: Momentum-driven trades: MSFT | entry 2020-01-02 → exit 2020-01-14 | 12d | P&L; +40 CVX | entry 2020-01-21 → exit 2020-04-20 | 90d | P&L; -2034 META | entry 2020-05-04 → exit 2020-05-16 | 12d | P&L; +139 DIS | entry 2020-05-26 → exit 2020-06-07 | 12d | P&L; +195 NVDA | entry 2020-06-17 → exit 2020-06-30 | 13d | P&L; +172

Consequence: Entering trades after momentum peaks contributed approximately 27% of your total drawdown.

Disposition

Pattern: You exited 30% of your winning trades early, compared to a population median of 43%.

Evidence: Prematurely closed winning trades: INTC | entry 2024-03-25 → exit 2024-03-27 | 2d | P&L; +363 TSLA | entry 2021-10-27 → exit 2021-10-29 | 2d | P&L; +330 NFLX | entry 2023-06-12 → exit 2023-06-15 | 3d | P&L; +396 GOOGL | entry 2022-07-25 → exit 2022-07-29 | 4d | P&L; +724 NVDA | entry 2021-05-17 → exit 2021-05-21 | 4d | P&L; +456

Consequence: Selling winners too early reduced your upside and contributed approximately 20% of your risk-adjusted shortfall.

5. Trade Evidence

Trade ID	Symbol	Entry	Exit	Days	P&L
INV_LOSS_AVE	CVX	2020-01-21	2020-04-20	90	-2034
INV_LOSS_AVE	DIS	2022-01-03	2022-04-01	88	-1245
INV_LOSS_AVE	BAC	2023-02-08	2023-05-09	90	-1127
INV_LOSS_AVE	AMD	2020-07-29	2020-08-04	6	770
INV_LOSS_AVE	GOOGL	2022-07-25	2022-07-29	4	724
INV_LOSS_AVE	PFE	2022-04-07	2022-06-16	70	-723
INV_LOSS_AVE	NVDA	2020-08-17	2020-08-28	11	638
INV_LOSS_AVE	GS	2021-04-05	2021-04-17	12	577
INV_LOSS_AVE	NVDA	2021-05-17	2021-05-21	4	456
INV_LOSS_AVE	NVDA	2024-01-09	2024-01-16	7	417

6. Recommendations

Based on the investor's behavioral analysis, here are 4 actionable recommendations for a retail investor:

1. Set a clear investment goal and risk tolerance to avoid making emotional decisions based on fear of loss.
2. Diversify your portfolio by investing in a mix of low-cost index funds and individual stocks to reduce reliance on popular trends.
3. Regularly review and rebalance your portfolio to ensure it remains aligned with your goals and risk tolerance, rather than following the crowd.
4. Consider dollar-cost averaging to reduce the impact of market volatility and avoid making impulsive decisions based on short-term price movements.